

Counter Trend Trading System

Multi-Timeframe Analysis Framework

PHASE 1: BIAS DETERMINATION (WEEKLY CHART)

Objective: Identify the macro trend direction and establish key zones

Mark the following on weekly:

- **Swing High (SH) and Swing Low (SL)**
- **Break of Structure (BoS)** — signals trend change
- **Point of Interest (POI) / Demand Zone** — where price historically reacted

Output: Weekly POI becomes your macro reference zone for counter-trend anticipation

PHASE 2: ZONE REFINEMENT (DAILY CHART)

Objective: Validate and refine the weekly POI using daily structure

On Daily chart, mark:

- Recent Swing High and Swing Low
- Break of Structure (BoS)
- Price Range being played

Refinement checklist for daily POI:

1. **Flip Zone** — Has this zone flipped from supply to demand (or vice versa)?
2. **Structure Zone** — Is there a structural level (double bottom, etc.) causing BoS?
3. **Liquidity Sweep** — Has the zone swept liquidity above/below it?
4. **Inducement Zones** —
 - If POI is **demand**: Look for supply zone(s) above it. Price inducing the upper zone validates the demand zone

- If POI is **supply**: Look for demand zone(s) below it. Price inducing the lower zone validates the supply zone

Critical Rule: Keep BOTH weekly zone and refined daily zone visible. The refined zone may cause you to miss the trade, but if weekly structure is still shifting, the weekly zone remains valid.

PHASE 3: ENTRY STRUCTURE (4-HOUR CHART)

Objective: Confirm structure shift and identify entry range

On 4H chart, mark:

- Swing High, Swing Low, and Break of Structure
- Define the price range you're playing
- Identify the 4H Point of Interest (POI)

Refinement process (same as daily):

- Apply refinement only AFTER price reacts to a daily zone
- When price confirms reaction to daily zone, switch to 4H
- Refine 4H POI using: flip zone, structure zones, liquidity sweeps, and inducement zones

Trigger: Only when you identify a **4H Change of Character (CoC)** — this signals a structural bullish shift and is your signal to move to 15M

PHASE 4: CONFIRMATION & DOUBLE STRUCTURE (15-MINUTE CHART)

Objective: Confirm counter-trend reversal and locate precise entry zone

Understanding 4H CoC on 15M:

- A 4H Change of Character represents a Break of Structure (BoS) on the 15M
- This confirms 15M is now bullish, but ONE BoS may not be sufficient
- Price could form a BoS just to liquidate the 15M supply zone, then reverse bearish

Wait for Double Swing Structure BoS:

- Only trade when you see a second BoS of the swing structure on 15M
- This double confirmation increases probability and filters false reversals

After Double BoS formed:

- Your task is to catch the **new Higher Low (HLO)**
 - Your target is the **old Higher High (HH)** — this is your counter-trend objective
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PHASE 5: 15-MINUTE POI IDENTIFICATION

Objective: Define precise entry zone on 15M

Draw Premium and Discount zones on 15M:

- Premium zone: From swing low to swing high (upper half)
- Discount zone: From swing low to swing high (lower half)

Mark 15M POI:

- Place POI(s) **BELOW** the Equilibrium (EQ) of premium/discount
- Counter-trend means you're buying the discount zone
- You can mark multiple POI levels to validate:
 - Check for flip zones
 - Check if POI leads to BoS
 - Check for liquidity below the zone
 - Check for structural zones above it (double bottom, etc.) — these work as inducement, strengthening the POI

Result: Primary entry zone identified on 15M

PHASE 6: MICRO CONFIRMATION (1-MINUTE CHART)

Objective: Confirm 15M POI holds with micro structure

Trigger: When price approaches the 15M POI, switch to 1M

On 1M, look for:

- **Change of Character (CoC) with V-shape sharp reaction**
- Sharp reversal proves 15M POI will hold

- The reaction confirms your confluence of multiple timeframes

Entry confirmation achieved when:

- 15M POI is mitigated (touched)
 - 1M shows Change of Character
 - Liquidity from higher timeframe (15M POI) is taken out
 - Structure is shifting bullish on 1M
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PHASE 7: ENTRY EXECUTION

Objective: Execute trade at optimal entry with defined risk

Entry Zone Options:

Option A: Entry at Extreme (High Probability)

- Extreme = the point where you know your trade will hold or you'll be stopped out
- Advantage: Highest probability; you know your exact invalidation point
- Disadvantage: May miss some of the move
- Risk: Single stop loss at one level

Option B: Entry Above Extreme / In the Lake (Lower Probability)

- Entry above the extreme (higher in price)
- Advantage: Catch more of the move
- Disadvantage: Lower probability; can be stopped twice (once at extreme, once at higher lake level)
- Requirement: You MUST see:
 - Flip zone confirmation
 - Liquidity sweep
 - Volume confirmation
- Only take if odds are significantly in your favor

Recommended: Start with Option A (extreme) for consistency, then scale to Option B as you build confidence

PHASE 8: TARGET & EXIT STRATEGY

Objective: Maximize trade by targeting high-probability exit zones

Primary Target:

- **Old Higher High (HH) of 15M** — your initial counter-trend target

Secondary Target:

- Use the nearest 4H supply zone (refined on 15M) as an alternative target
- This captures the next level of resistance

Scaling Strategy (if order flow sustains):

1. Close first position at Target 1 (old HH or 4H supply)
2. If momentum continues, re-enter at newly formed higher high
3. Target the next structural resistance zone
4. Scale out with market momentum

Exit Rules:

- Exit at Target 1 or Target 2 (depending on structure)
- If 1M breaks counter-trend structure, exit immediately
- Do not hold beyond structural levels unless confluence validates continuation

ENTRY CHECKLIST

Before executing any trade, confirm ALL of these:

- ✓ Weekly bias identified (demand zone marked)
- ✓ Daily POI refined with structural confluence
- ✓ 4H Change of Character confirmed
- ✓ 15M double swing BoS formed
- ✓ 15M POI identified with multi-level validation
- ✓ Price approaching 15M POI
- ✓ 1M CoC with V-shape sharp reaction at POI
- ✓ Entry execution at extreme (or with flip/liq/volume if above extreme)

- ✓ Stop loss defined (below invalidation point)
 - ✓ Target identified (old HH or 4H supply)
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KEY RULES TO REMEMBER

1. **Never skip timeframes** — Each higher timeframe validates the lower one
2. **Structure over price** — Price follows structure, not the other way around
3. **Wait for double confirmation** — One BoS can be a liquidity grab; two BoS is a trend shift
4. **Refinement after reaction** — Only refine POI when price reacts; premature refinement wastes opportunities
5. **Multi-level validation** — The more confluences at your POI, the higher the probability
6. **Order flow sustains targets** — Scaling works only if volume and momentum continue
7. **Keep higher timeframe zones visible** — Don't fixate on 15M/1M at the expense of weekly/daily structure
8. **Extreme entry for consistency** — Prioritize known invalidation over trying to catch the entire move

Pro Trend Trading System

Multi-Timeframe Analysis Framework

PHASE 1: BIAS DETERMINATION (WEEKLY CHART)

Objective: Identify the macro trend direction and confirm continuation bias

Mark the following on weekly:

- **Swing High (SH)** and **Swing Low (SL)**
- **Break of Structure (BoS)** — signals trend continuation
- **Point of Interest (POI) / Supply Zone** — where price has previously rejected (for selling) or demand zone (for buying continuation)

Trend Confirmation Rules:

- **Bullish trend:** Series of higher highs and higher lows; break above previous SH
- **Bearish trend:** Series of lower lows and lower highs; break below previous SL

Output: Weekly POI (supply for shorts, demand for longs) becomes your macro reference zone for trend continuation trades

PHASE 2: ZONE REFINEMENT (DAILY CHART)

Objective: Validate and refine the weekly POI using daily structure to confirm trend continuation

On Daily chart, mark:

- Recent Swing High and Swing Low
- Break of Structure (BoS) — should align with weekly bias
- Price Range being played
- Trend direction (higher lows = bullish, lower highs = bearish)

Refinement checklist for daily POI:

1. **Flip Zone** — Has this zone flipped from supply to demand (or vice versa) in favor of the trend?
2. **Structure Zone** — Is there a structural level (double top, double bottom, etc.) that aligns with the weekly BoS?
3. **Liquidity Sweep** — Has the zone swept liquidity (below on uptrends, above on downtrends)?
4. **Inducement Zones** —
 - If trend is **bullish** (POI is demand): Look for supply zone(s) above it. Price inducing the upper zone then pulling back to demand validates the level
 - If trend is **bearish** (POI is supply): Look for demand zone(s) below it. Price inducing the lower zone then pulling back to supply validates the level

Critical Rule: Keep BOTH weekly zone and refined daily zone visible. With pro-trend trades, both should align. If daily structure contradicts weekly bias, the weekly zone remains the anchor.

PHASE 3: ENTRY STRUCTURE (4-HOUR CHART)

Objective: Confirm trend structure and identify continuation entry range

On 4H chart, mark:

- Swing High, Swing Low, and Break of Structure
- Define the price range and trend direction
- Identify the 4H Point of Interest (POI)

Trend Continuation Signals on 4H:

- **Bullish:** Price makes higher low after pullback; 4H BoS above previous SH
- **Bearish:** Price makes lower high after bounce; 4H BoS below previous SL

Refinement process (same as daily):

- Apply refinement only AFTER price reacts to a daily zone
- When price confirms reaction to daily zone, switch to 4H
- Refine 4H POI using: flip zone, structure zones, liquidity sweeps, and inducement zones

Trigger: Only when you identify a **4H Change of Character (CoC) in the direction of the trend** — this signals a structural continuation and is your signal to move to 15M

Key Difference from Counter-Trend: You're looking for CoC that continues the trend, not reverses it. Price should break above resistance (bullish) or below support (bearish).

PHASE 4: CONFIRMATION & DOUBLE STRUCTURE (15-MINUTE CHART)

Objective: Confirm trend continuation and locate precise entry zone

Understanding 4H CoC on 15M:

- A 4H Change of Character in the trend direction represents a Break of Structure (BoS) on the 15M
- This confirms 15M is moving with the trend, but ONE BoS may not be sufficient
- Price could form a BoS and grab liquidity in the direction of the trend, then reverse sharply

Wait for Double Swing Structure BoS:

- Only trade when you see a second BoS of the swing structure on 15M
- Both breaks should be in the direction of the trend
- This double confirmation filters whipsaws and confirms strong momentum

After Double BoS formed:

- Your task is to catch the **new Higher High (HH) on bullish** or **new Lower Low (LL) on bearish**
 - Your target is **the next structural resistance (bullish) or support (bearish)** — this extends the trend continuation
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PHASE 5: 15-MINUTE POI IDENTIFICATION

Objective: Define precise entry zone on 15M aligned with trend

Draw Premium and Discount zones on 15M:

- **Bullish:** Discount zone (lower half of swing range). You want to buy in the discount
- **Bearish:** Premium zone (upper half of swing range). You want to sell in the premium

Mark 15M POI (Demand for Bullish / Supply for Bearish):

- **For Bullish:** Place POI(s) in the LOWER discount zone (below EQ)
- **For Bearish:** Place POI(s) in the UPPER premium zone (above EQ)

Multi-level validation:

- Check for flip zones (zone that supports the trend direction)
- Check if POI leads to BoS (price should break structure after touching POI)
- Check for liquidity sweep (bullish: liquidity below; bearish: liquidity above)
- Check for structural zones above (bullish demand) or below (bearish supply) that work as inducement

Result: Primary entry zone identified on 15M, positioned to catch trend continuation

PHASE 6: MICRO CONFIRMATION (1-MINUTE CHART)

Objective: Confirm 15M POI holds with micro structure and momentum

Trigger: When price approaches the 15M POI, switch to 1M

On 1M, look for:

- **Change of Character (CoC) in the trend direction**
- **V-shape sharp reaction (bullish) or inverted V-shape (bearish)**
- Sharp reversal at the 15M POI proves the level will hold and momentum is present

Momentum Confirmation:

- Candle closing above (bullish) or below (bearish) the 15M POI on 1M
- Volume increase into the 1M CoC (more buyers/sellers entering at POI)
- Narrow candles followed by wide directional candle (confirms conviction)

Entry confirmation achieved when:

- 15M POI is mitigated (touched)
- 1M shows Change of Character in trend direction
- Liquidity from higher timeframe (15M POI) is taken out

- Structure is shifting in trend direction on 1M
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PHASE 7: ENTRY EXECUTION

Objective: Execute trade at optimal entry with defined risk and momentum

Entry Zone Options:

Option A: Entry at Extreme (High Probability)

- Extreme = the lowest point (bullish) or highest point (bearish) of the 15M POI reaction
- Advantage: Highest probability; you know your exact invalidation point
- Disadvantage: May miss some of the move; requires perfect timing
- Risk: Single stop loss at one level (below 15M swing low for bullish, above 15M swing high for bearish)

Option B: Entry Above Extreme / Breakout Entry (Higher Catch Rate)

- Entry AFTER confirmation of the 1M CoC
- Entry above the extreme (higher for bullish, lower for bearish)
- Advantage: Catch more of the move; enter with momentum
- Disadvantage: Lower probability; potential for whipsaws
- Requirement: You MUST see:
 - Flip zone confirmation
 - Liquidity sweep in trend direction
 - Volume surge and momentum confirmation on 1M
 - Clear 1M CoC

Scaling Entry Strategy (Pro-Trend Specific):

- **Scale In Approach:** Take 50% position at extreme, 50% above extreme as price confirms
- **Benefits:** Lock in low-risk entry, then add on momentum
- **Advantage for trends:** Trends sustain; you can afford to scale in safely

Recommended: Option B with scaling for pro-trend. Trends are sustained moves; entering with momentum on confirmation reduces whipsaw risk and positions you with the trend momentum.

PHASE 8: TARGET & EXIT STRATEGY

Objective: Maximize trend continuation by targeting multiple zones

Primary Target:

- **First structural resistance (bullish) or support (bearish)** on 15M/4H
- This is usually the nearest swing high (bearish) or swing low (bullish) that aligns with 4H structure

Secondary Target:

- Use the nearest 4H resistance/support zone (refined on 15M) as the next target
- This captures the broader trend continuation

Tertiary Target:

- Use weekly resistance (bullish) or support (bearish) for extended trend plays
- Only target if 4H momentum remains strong

Trailing Exit Strategy (Pro-Trend Specific):

1. Close 33% at Primary Target (lock in profits)
2. Move stop loss to breakeven once Target 1 is hit
3. Trail stop loss using:
 - 1M swing low (bullish) or swing high (bearish)
 - Recent 4H structure as dynamic support/resistance
 - Close below 1M support or above 1M resistance triggers full exit
4. Close remaining position at Target 2 or 3

Exit Rules:

- Exit immediately if:
 - 1M breaks counter-trend structure (below 1M swing low for bullish)

- Price closes below major 15M support or above 15M resistance
- Weekly structure breaks (price breaks weekly BoS invalidating the trend)
- Exit partially on each target, scale out with momentum
- Never let a winning trade become a loss on a trend continuation

DIFFERENCE: PRO-TREND vs COUNTER-TREND

Aspect	Counter-Trend	Pro-Trend
Entry Bias	Against weekly bias	With weekly bias
Zone Selection	Buy demand in discount	Buy demand/sell supply in trend direction
Target	Old HH (small move)	Next structural level (extended move)
Exit Strategy	Hit target, exit	Scale out, trail stop, extend targets
Probability	Lower (fighting trend)	Higher (flowing with trend)
Win Rate	Smaller wins	Larger wins
Holding Time	Shorter (reversal play)	Longer (continuation play)
Entry Timing	Wait for double BoS + CoC	Double BoS + CoC + momentum
Scaling	Scale down risk	Scale in with momentum
Stop Loss	Tight (below extreme)	Slightly wider (below swing structure)

ENTRY CHECKLIST

Before executing any pro-trend trade, confirm ALL of these:

- ✓ Weekly bias identified (supply zone for shorts, demand for longs)
- ✓ Weekly BoS confirmed in trend direction
- ✓ Daily POI refined with structural alignment to weekly
- ✓ Daily trend confirmed (HHs and HLs for bullish, LLs and LHs for bearish)
- ✓ 4H Change of Character in trend direction
- ✓ 4H double swing BoS confirmed

- ✓ 15M double swing BoS formed in trend direction
 - ✓ 15M POI identified in discount (bullish) or premium (bearish) zone
 - ✓ Price approaching 15M POI
 - ✓ 1M CoC with sharp reaction at POI in trend direction
 - ✓ Volume or momentum confirmation on 1M
 - ✓ Entry execution (at extreme or above with confirmation)
 - ✓ Stop loss defined (below invalidation point)
 - ✓ Targets identified (Primary, Secondary, Tertiary)
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KEY RULES FOR PRO-TREND TRADING

1. **Trend is your friend** — Only trade with the weekly bias; never fight it
2. **Structure validates bias** — Each timeframe should confirm the trend direction
3. **Double confirmation filters whipsaws** — Two BoS means conviction, not one
4. **Momentum confirms entry** — Pro-trend entries should show acceleration into POI
5. **Scale in with trends** — Trends sustain; adding to winners is safer than counter-trend scaling
6. **Trail stops on trends** — Let winners run; use dynamic support/resistance as trailing stops
7. **Multiple targets for larger moves** — Pro-trend trades have extended targets; scale out progressively
8. **Weekly structure is unbreakable** — If weekly BoS breaks against your position, exit immediately
9. **Volume and momentum matter more** — Pro-trend trades thrive on accumulation; watch for volume surges
10. **Risk once to win multiple times** — Your risk:reward can be 1:3 or better on trend continuation
11. **When price comes in higher time frame demand or supply then one of trading can be done with 15 min coh without waiting for 4H coh.**
12. **Coh line is the line that has formed new high or low low /high without any achievement is not coh line**

